

Voluntary Report – Voluntary - Public Distribution

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Report Name: European Union to Phase Out the Use of Soy-based Biofuels

Country: European Union

Post: Brussels USEU

Report Category: Biofuels

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Report Highlights:

On April 10, 2026, the European Commission adopted a delegated regulation to update the methodology and data for high indirect land use change (ILUC) risk biofuels. The change in methodology and data will result in a gradual phase-out of the use of soybean as a feedstock for biofuels by 2030. The text now goes to Parliament and the Council for consideration. The United States exported soybeans valued at \$2.2 billion to the European Union in 2025.

On April 10, 2026, the European Commission adopted a [delegated regulation](#) updating the methodology and data for high indirect land use change (ILUC)-risk biofuels. The EU Renewable Energy Directive (RED) II introduces specific rules for high-risk ILUC biofuels through [Delegated Regulation 2019/807](#), which are now amended by this updated delegated regulation.

Under current rules, the Commission defines high ILUC-risk feedstock as feedstock for which the share of expansion of the production into land with high-carbon stock is higher than ten percent since 2008 with an annual expansion of more than one percent. Given the calculations of the Commission in 2019, only palm oil fell under this definition (see table below). The use of high-risk ILUC biofuels, that can count towards the REDII renewable energy targets, were capped at the 2019 level through 2023 and are phased out until 2030.

With the new proposed rule, the Commission is considering data as of 2014 instead of 2008. Considering this new data, and an update to the methodology in which high-risk ILUC feedstocks are measured, the Commission amended the annex of Delegated Regulation 2019/807.

Table 1: New Annex as adopted by the Commission

	Average annual expansion (kha) since 2014	Average annual expansion (%) since 2014	Share of expansion into land referred to in Article 29(4)(b) and (c) of Directive (EU) 2018/2001	Share of expansion into land referred to in Article 29(4)(a) of Directive (EU) 2018/2001
Wheat	14	0.1%	1.6 %	—
Maize	2,749	1.4 %	7.0 %	—
Sugar cane	-103	-0.4 %	16.1 %	—
Sugar beet	-10	-0,2 %	0,2 %	—
Rapeseed	45	0.1 %	1.0 %	—
Palm oil	879	3.4 %	27.1 %	13.7 %
Soybean	1,608	1.3 %	14.1 %	—
Sunflower	740	2.8 %	1.0%	—

Source: European Commission

Under the new calculations **both palm oil and soybeans** fall under the definition of a high ILUC-risk feedstock for biofuel use and therefore will not be able to count towards the EU's targets for biofuel use by 2030. This takes away incentives for using U.S. bean oil in biodiesel in Europe.

The draft delegated act also introduces linear trajectory to enable a gradual adjustment of the market. The EC proposes that the share of high ILUC biofuels in the Member States' consumption of renewable energy shall not exceed the following percentages:

- 85,7% in 2024
- 1,4% in 2025
- 57,1% in 2026
- 42,8% in 2027
- 28,6% in 2028
- 14,3% in 2029
- 0% in 2030

Next Steps:

The Delegated Act will now be transmitted to the European Parliament and the Council for their scrutiny. The changes can apply once the scrutiny period of two months, which can be prolonged by another two-month period, is over. If either the Parliament or Council object to the changes, the text will need to be revised by the Commission.

Additionally, the Delegated Regulation foresees the review of [Implementing Regulation 2022/996](#) on rules to verify sustainability and greenhouse gas emissions saving criteria and low indirect land-use change-risk criteria. That review is expected by the end of 2026. The Commission will assess whether it is appropriate to further specify the certification framework of low indirect land-use-change biofuels as regards the coverage of agricultural practices such as sequential cropping and intercropping, while preserving environmental safeguards. The Commission may also further examine the suitability of regional approaches in the scope of this regulation

Attachments:

No Attachments.